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United Nations Development Programme

Project Document template for projects financed by the various GEF Trust Funds

Project title: National child project under the GEF Africa Mini-grids Program		
Country(ies): Somalia	Implementing Partner (GEF Executing Entity): UNDP CO in Somalia, Unicorn.eth	Execution Modality: Direct Implementation (DIM)
Contributing Outcome (UNDAF/CPD, RPD, GPD): UNSDCF Outcome 3.2, Output 3.2.4: The capacity of public and private (for-profit and non-profit) organizations is strengthened to expedite the growth of the information and communications technology (“digital economy”) and renewable energy sectors. CPD Output 3.3: Enhanced access to clean, affordable, and sustainable energy for economic growth. National Development Priority (NDP-9, Pillar-3): Economic Development.		
UNDP Social and Environmental Screening Category: <i>Substantial</i>		UNDP Gender Marker: GEN-2
Atlas Award ID: 00135174		Atlas Project/Output ID: 00126498
UNDP-GEF PIMS ID number: 6328		GEF Project ID number: 10413
LPAC meeting date: 20/10/2022		
Last possible date to submit to GEF: 19/06/2021		
Latest possible CEO endorsement date: 19/12/2021		
Project duration in months: 48 months		
Planned start date: 01/12/2022		Planned end date: 30/11/2026
Expected date of Mid-Term Review: 31/12/2024		Expected date of Terminal evaluation: 30/10/2026
Brief project description: As part of the UNDP-supported, GEF-financed Africa Mini-grids Program (AMP), the AMP in Somalia seeks to “support access to clean energy by increasing the financial viability, and promoting scaled-up commercial investment, in low-carbon mini-grids in Somalia, with a focus on cost-reduction levers and innovative business models”. The baseline situation is characterized by a low electrification rate (35%), the lack of electricity grid infrastructure, and the predominance of and reliance on diesel mini-grid systems, owned and operated by private Electricity Service Providers (ESPs), charging remarkably high tariffs. The project strategy corresponds to the unique nature of the energy sector in Somalia, and the AMP’s concentration on clean energy, by focusing on digital transformation and institutionalization of ongoing initiatives to expand the adoption of solar PV technologies, and promote hybridization of existing diesel minigrid systems as a financially viable path to driving down tariffs and reducing GHG emissions in Somalia.		

This is achieved through supporting the Government on the national and sub-national levels with: (1) operationalizing existing mini-grid policies and regulations through digital transformation, including performing techno-economic analyses, designing tools for tariff calculation, and supporting the institutional capacity building of the mini-grid public sector; (2) implementing pilot project(s) to showcase the benefits of hybridization and remote telemetry of performance monitoring and consumption tracking, as well as establishing and capacitating mini-grid industry associations to encourage and strengthen private operators and developers, and introducing academic programs to build private sector capacity to design, operate, maintain and manage solar and hybrid mini-grids; (3) assessing previous and ongoing financing schemes to develop operational guidance and offer training support to stakeholders in the domestic financial sector; and (4) running an effective M&E, QA and KM systems to oversee and guide project implementation.

FINANCING PLAN

GEF Trust Fund grant

UNDP TRAC resources¹

(1) Total Budget administered by UNDP

CO-FINANCIERS THAT WILL DELIVER PROJECT RESULTS INCLUDED IN THE PROJECT RESULTS FRAMEWORK (FUNDS NOT ADMINISTERED THROUGH UNDP ACCOUNTS)

(2) Total confirmed co-financing to this project not administered by UNDP

(3) Grand-Total Project Financing (1)+(2)

SIGNATURES:

Jocelyn Mason, Resident Representative,
UNDP, Somalia Country Office

¹ This is not a mandatory requirement.